

I first heard about it when someone in our office got a call from a trader in the Princeton office, saying that federal agents were spilling off the elevators and grabbing all the records. I found out later that Regan and others in the Princeton office knew something was going on as much as a year earlier because of information requests.

So effectively you found out the day before the story ran in the newspapers?

Yes.

What was your reaction?

I had no idea what the motivation for the raid was or what the government was trying to find.

Regan never gave you any inkling of what was going on?

Not a peep.

Were you are wrong about your assessment of Regan?

I think he evolved over time, and in later years, he wasn't the same person I knew when we first formed our partnership. I think success slowly transformed him.

What was your response when you found out?

I negotiated with Regan and the other defendants of the Princeton office to contribute \$2.5 million toward their defense, but to cap the partnership's liability to that amount. Their argument was that the partnership should pay the total defense bill, but my attitude was that if they were guilty, then the partnership shouldn't pay anything. So we settled on the \$2.5 million number. That ended up being much less than the actual legal bill, which totaled over \$12 million.

So you and Regan were in adversarial roles regarding this matter?

Yes, especially since I wasn't getting any information from those guys. They had circled the wagons.

How did the Princeton office operate under the circumstances?

It was difficult because they were distracted by all the legal stuff, but it was still limping along. Several months after the indictment, I met with